

CV-25-011517 HILTERBRAND, RANDY vs TESLA INC – Defendant Tesla Inc's Motion to Strike Punitive Damages Allegations in Plaintiff's Second Amended Complaint – DENIED.

County: stanislaus

Division: Civil Law and Motion

Department: 21

Hearing date: 2012-04-02

Motion: Defendant Harrison is alleged to have been in the driver's seat while intoxicated, used his Tesla's autopilot which disengaged after multiple warnings, and then drove into oncoming traffic. Plaintiff alleges multiple prior failings of Tesla's autopilot system. A motion to strike punitive damage allegations tests the sufficiency of the pleadings, not the truth of the allegations. At this stage, the Court accepts the factual allegations of the complaint as true and construes them liberally. While conclusory allegations alone are insufficient, punitive damages may be pleaded by alleging ultimate facts showing malice, oppression, or fraud within the meaning of Civil Code section 3294.(Code of Civil Procedure section § 436; Turman v. Turning Point of Central Calif., Inc. (2010) 191 CA4th 53, 63; Perkins v. Superior Court (1981) 117 Cal.App.3d 1; Grieves v. Sup. Ct. (1984) 157 Cal.App.3d 159). Here, the Second Amended Complaint alleges more than a defective product or ordinary negligence. Plaintiff alleges Tesla possessed extensive knowledge of risks associated with Autopilot, including driver overreliance, prior incidents, and the availability of alternative safety measures, yet consciously chose to continue the challenged conduct. Tesla notes correctly that a significant number of the alleged similar incidents do not appear all that similar. Nonetheless, these allegations are sufficient to support a claim that Tesla acted with conscious disregard for the safety of others. (Cal. Civ. Code § 3294(c)(1); King v. U.S. Bank Nat'l Ass'n, (2020), 53 Cal. App. 5th 675, as modified on denial of reh'g (Aug. 24, 2020; College Hospital, Inc. v. Superior Court (1994) 8 Cal.4th 704; Taylor v. Superior Court (1979) 24 Cal.3d 890). Tesla's argument that the Second Amended Complaint merely relies on generalized allegations concerning autopilot isn't correct. Whether Plaintiff can ultimately establish facts sufficient to reach trial and prevail at trial is not yet before the Court. At the pleading stage, the Second Amended Complaint alleges sufficient facts from which malice, oppression, or fraud may reasonably be inferred. (Perkins v. Superior Court (1981) 117 Cal.App.3d1). The Court likewise concludes that the Second Amended Complaint adequately alleges the involvement of Defendant's officers, directors, or managing agents, specifically the CEO. Orient Handel v. United States Fidelity and Guaranty Company (1987) 192 Cal.App.3d 684 at 697 is cited by Tesla as requiring specificity in pleading the specific reliance. Tesla's observation that the nexus between the public statements made by it, Harrison's reliance on those statements, and the collision, are thin. But Orient Handel is not a pleadings case; it's a post-trial case. At the pleading stage, it appears to be enough. The Court finds Plaintiff has alleged sufficient ultimate facts to support punitive damages against Tesla. The motion to strike punitive damage allegations, including the related punitive damage prayer, is therefore DENIED. Plaintiff shall submit a proposed order that conforms to the Court's ruling no later than September 16, 2026. Defendant Tesla, Inc. shall file and serve its responsive pleading within 15 days.

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A motion to strike punitive damage allegations tests the sufficiency of the pleadings, not the truth of the allegations. At this stage, the Court accepts the factual allegations of the complaint as true and construes them liberally. While conclusory allegations alone are insufficient, punitive damages may be pleaded by alleging ultimate facts showing malice, oppression, or fraud within the meaning of Civil Code section 3294.(Code of Civil Procedure section § 436; Turman v. Turning Point of Central Calif., Inc. (2010) 191 CA4th 53, 63; Perkins v. Superior Court (1981) 117 Cal.App.3d 1; Grieves v. Sup. Ct. (1984) 157 Cal.App.3d 159).

Here, the Second Amended Complaint alleges more than a defective product or ordinary negligence. Plaintiff alleges Tesla possessed extensive knowledge of risks associated with Autopilot, including driver overreliance, prior incidents, and the availability of alternative safety measures, yet consciously chose to continue the challenged conduct.

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Nonetheless, these allegations are sufficient to support a claim that Tesla acted with conscious disregard for the safety of others. (Cal. Civ. Code § 3294(c)(1); *King v. U.S. Bank Nat'l Ass'n*, (2020), 53 Cal. App. 5th 675, as modified on denial of reh'g (Aug. 24, 2020); *College Hospital, Inc. v. Superior Court* (1994) 8 Cal.4th 704; *Taylor v. Superior Court* (1979) 24 Cal.3d 890).

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